Institutional Veto Players

Comparative Politics

December 13-17, 2021

Teaching evaluations

- Available until 12/14/2021 11:59 PM
- You will keep getting reminders until you complete them
- Your answers are confidential and I can only see the report after the final grades submission period
- A chance to help your instructors improve in a post-pandemic world
- For some of your instructors they matter for promotion! `(Not for me though)`
- A lot of research shows that women, POC, and other minorities tend to get worse evaluations for comparable performance `(Think about implicit biases!)`

So far...

- We have discussed many institutional features of democracy and how they vary around the world
- **Goal:** Overcome problems in group decision-making
- **Arrow's theorem:** Investing in one aspect of fairness sacrifices other dimensions
- **This week:** Additional institutional arrangements to counter the negative consequences
  - How much decision-making power should regions have?
  - How many chambers should a legislature have?
  - How much enforcement should we have in the constitution?
- **At the core:** The role of institutional veto players

We will focus on three institutional features

1. Federalism
2. Bicameralism
3. Constitutionalism

Federalism

- **Federal (nation-)state:** Sovereignty is **constitutionally** split between at least two territorial levels so that independent governmental units at each level have final authority in at least one policy realm
- **Federal level:** National
- **Subnational/regional:** States, provinces, cantons, etc.
- States that are not federal are **unitary states**
- Federal states can be either democracies `(e.g. Brazil)` or dictatorships `(e.g. United Arab Emirates)`

Devolution $\neq$ Federalism

- **Devolution:** Unitary state grants power to subnational governments but retains the right to unilaterally recall or reshape those powers `(e.g. India)`
- **Federalism:** Subnational governments have a constitutional right to their powers, cannot be recalled without changing the constitution `(e.g. United States)`

Congruent vs. incongruent federalism

- **Congruent:** Territorial units share a similar demographic makeup with one another and the country as a whole `(e.g. United States, Brazil)`
- **Incongruent:** Different demographic makeup among territorial units and country as a whole `(e.g. Switzerland, Belgium)`
- Sometimes congruence/incongruence emerges naturally, sometimes it is a political decision

Symmetric vs asymmetric federalism

- **Symmetric:** Territorial units possess equal powers relative to the central government `(e.g. United States)`
- **Asymmetric:** Some territorial units enjoy more extensive powers than others relative to the central government `(e.g. Canada)`

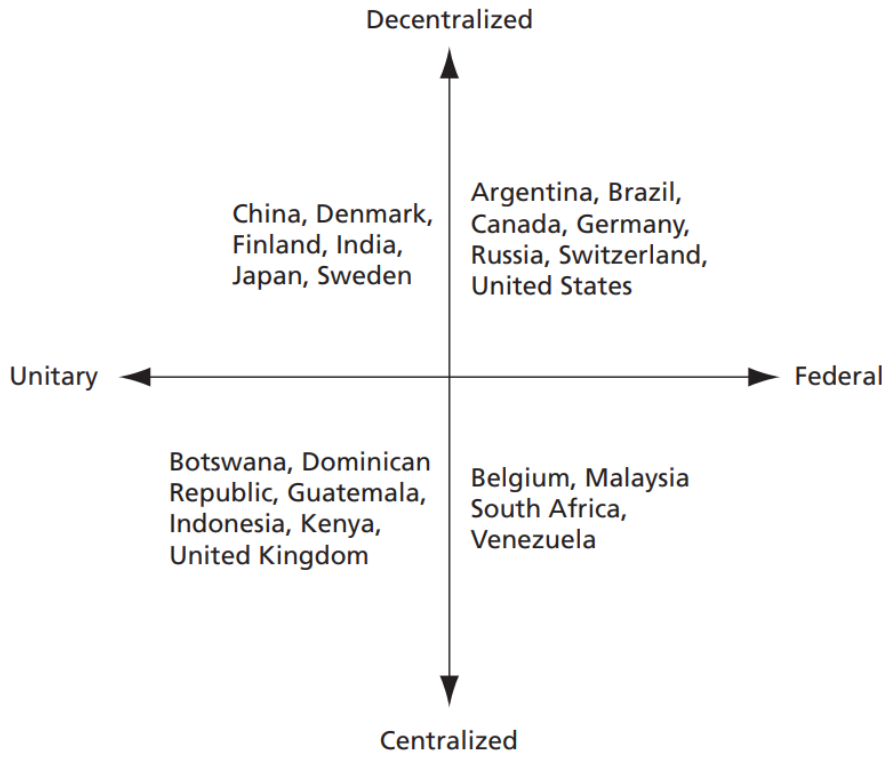
Federalism in structure and in practice

- **Federalism** implies constitutional recognition of decision-making autonomy
- But having the power to make decisions does not translate automatically to policy making
- **Decentralization:** Whether **actual** policy making power lies within central or regional governments
- This is hard to observe directly
- Easier to determine whether regions have the resources to implement policy decisions, so we tend to look at the **distribution of tax revenue**
- **The greater the share of tax revenues going to the central government, the less decentralized the state**

Note: Differences in symmetry and congruence apply to decentralization as well

Federalism does not imply decentralization

FIGURE 15.2 **Two Dimensions of Federalism**



Where does federalism come from?

- **Coming-together federalism:** Bargaining process in which independent polities agree to give up part of their sovereignty to pool resources, improve collective security, or achieve economic goals
- **Holding-together federalism:** Central government of a polity chooses to decentralize to diffuse secessionist pressures

Pros and cons of federalism

Pros

- Closer match between policy and citizen preferences
- More accountability
- Competition among states incentivizes good government
- Policy experimentation
- Checks and balances

Cons

- Policy duplication and contradiction
- Collective action problems in policy formulation
- Competition leads to downward harmonization
- Competition amplifies pre-existing inequalities
- Facilitates blame shifting and credit claiming

Bicameralism

- **Unicameral legislature:** Deliberation occurs in a single assembly
- **Bicameral legislature:** Deliberation occurs in two distinct assemblies
- About 40% of countries have bicameral legislatures

Congruent vs. incongruent bicameral systems

- **Congruent:** Two legislative chambers have similar political composition
- **Incongruent:** Different political composition
- The level of congruence depends on:
    1. How chamber members are selected
    2. Whom that chamber is supposed to represent

Note: I wonder if bicameralism changes what we have discussed about government formation in parliamentary and semi-presidential systems. Maybe the textbook says something about it?

Methods to select chamber members

- Lower house members are almost always elected by popular vote
- Upper house members can be selected by any combination of:
    1. Heredity
    2. Appointment
    3. Indirect elections
    4. Direct elections
- Appointment can be good to include representatives with policy expertise
- But, like heredity, it can be perceived as undemocratic

Representation goals

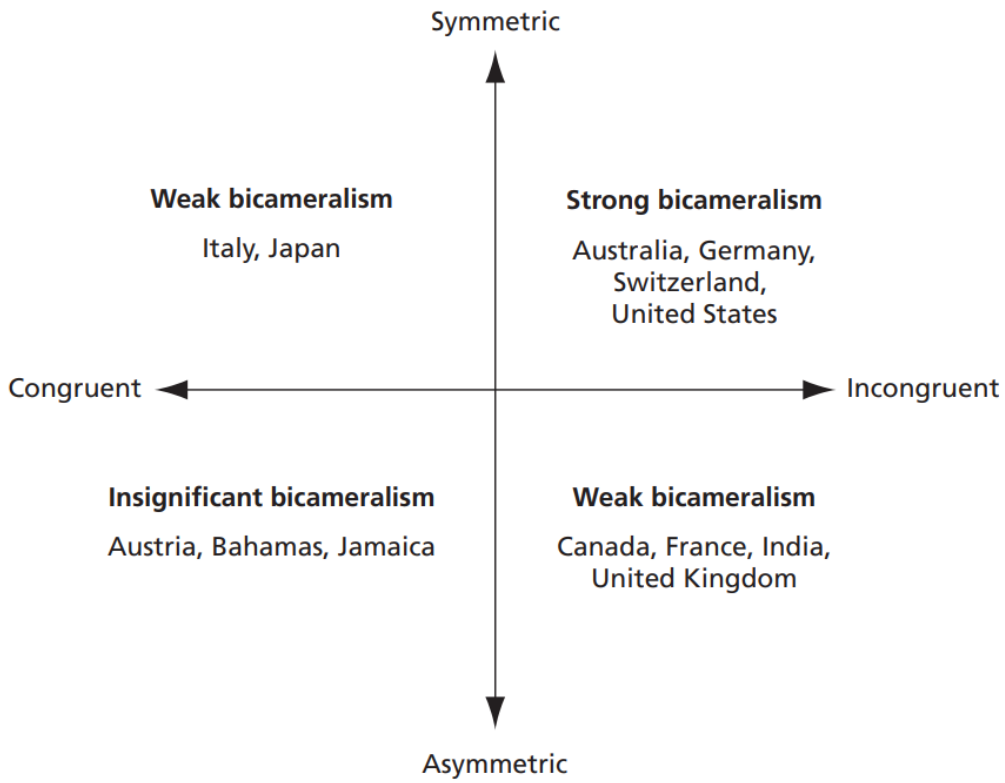
- Lower chambers are almost always meant to represent all citizens equally
- Upper chambers are more commonly meant to represent the citizens of subnational geographic units `(especially, but not only, in federal states)`
- Different representation goals can be good to prevent a geographically concentrated national majority to impose their preferences over the rest of the country
- But it can be bad since it can induce **malapportionment**
- **Malapportionment:** The distribution of political representation between constituencies is not based on the size of each constituency's population
- **Example:** All provinces elect one senator, no matter their population
- In a malapportioned system, the votes of some citizens weigh more than the vote of others

Symmetric vs. asymmetric bicameral systems

- **Symmetric:** The two chambers have equal or near equal constitutional power
- **Asymmetric:** The two chambers have unequal constitutional power
- For example, in some countries only the lower chamber can start an impeachment vote

Dimensions of bicameralism

FIGURE 15.3 **Two Dimensions of Bicameralism**



Where does bicameralism come from?

- The idea comes from the concept of **mixed government** in ancient Greece
- Different institutions should represent the interests of different social classes
- By creating checks and balances, mixed government would prevent one social class from dominating the others
- The idea got lost as we moved from representing individuals instead of representing classes in the 18th century
- Bicameralism became popular as a way for federal states to represent its constituent units
    - **Lower chamber:** Popular dimension of people's will
    - **Upper chamber:** Territorial dimension of people's will

Pros and cons of bicameralism

Pros

- Promoting distinct preferences of territorial units in federal states
- Improving the quality of legislation in unitary states

Cons

- Malapportionment
- Blame-shifting, undeserved credit-claiming
- Inefficient or corrupt policy making

Constitutionalism

- Refers to the commitment of governments to accept a set of rules and principles laid out in a constitution
- A **system of constitutional justice** comprises the set of institutions and procedures established to protect constitutional rules and principles
- We use somewhat vague language because not all constitutions look the same, even when they play a similar role
- At a minimum, a constitution establishes the structure, procedures, powers, and duties of governmental institutions
- More recent constitutions also contain a list of guaranteed rights
- The question is **what** a constitution should do and **how** to achieve it

Codified vs. uncodified constitutions

- **Codified:** Written in a single document
- **Uncodified:** Several resources, both written and unwritten, of attain constitutional status over time
- Only Israel, New Zealand, and the United Kingdom have uncodified constitutions

Entrenched vs. unentrenched constitutions

- **Entrenched:** Can be modified only though a special procedure of constitutional amendment `(regulated by the constitution itself)`
- **Unentrenched:** No special amendment procedure. Can be modified at any point with the support of a legislative majority

Constitutional review

- A constitution can give someone the **authority to invalidate** legislation, administrative decisions, judicial ruling, and other government **acts that violate constitutional rules**
- Often exercised by judges sitting on special tribunals or **constitutional courts**
- When constitutional review is conducted by judges of the regular judicial system, such as the Supreme Court, we call it **judicial review**

Two ideal types

Table 15.3 **Legislative Supremacy Constitution versus Higher Law Constitution**

Characteristic	Legislative supremacy	Higher law
Entrenched	No	Yes
Constitutional review	No	Yes
Bill of rights	No	Yes

- **New constitutionalism:** Almost all countries have converged towards a higher law constitution
- Most differences today exist on the **type**, **timing**, and **jurisdiction** of constitutional review

Variation in constitutional review

- **Type**
  - **Abstract:** Can review legislation in the absence of a concrete legal case
  - **Concrete:** Can only review legislation with respect to a specific legal case
- **Timing**
  - **A priori:** Before a law is formally enacted
  - **A posteriori:** Only after law is enacted
- **Jurisdiction**
  - **Centralized:** Only one court can conduct review `(European model)`
  - **Decentralized:** More than one court can interpret the constitution `(American model)`

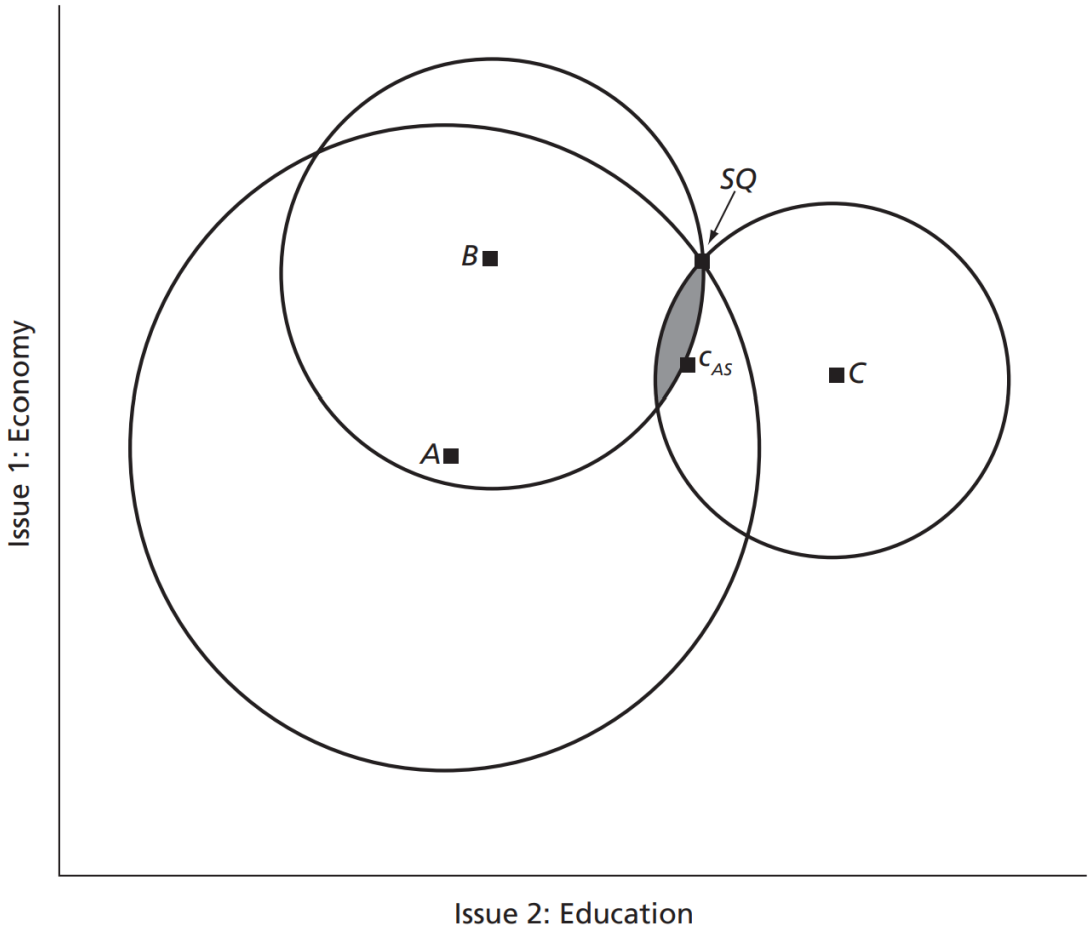
Making sense of all of this

- Lost of things to keep track of!
- At the core, it's all about the role of **institutional veto players**
- **Veto player:** Individual or collective actor whose agreement is necessary to change the political status quo
- **Partisan veto players:** Generated by the way the political game is played
- `Example:` Under MVT conditions a small party may end up in a privileged bargaining position in a legislature
- **Institutional veto players:** Established as such by the constitution
- Federalism, bicameralism, and constitutionalism are different types of **institutional veto players**

Application

- Assume we have three decision makers A, B, and C
- They need to bargain on budget allocation along the **economy** and **education**
- A change from the status quo SQ is approved by unanimity
- C is the agenda setter
- The **winset** is the set of alternatives that would win in a head-to-head vote against SQ
- C will propose the policy within the winset that is closest to their ideal point

FIGURE 15.4 **An Application of Veto Player Theory**



Winset

- The winset reflects the range of viable policy outcomes
- **Small winset:** Higher policy stability since fewer alternatives can defeat the status quo
- **Large winset:** Low policy stability since many alternatives can defeat the status quo
- Under a small winset, policy shifts are always small
- Under a small winset, policy shifts can be either small or more radical
- The smaller the winset, the weaker the powers of the agenda setter

What affects the size of the winset?

- **More veto players** either **decreases** the size of the winset or **leaves it the same**
  - If the preferences of a new player overlap with existing players, then nothing changes
  - This is true because we assume that unanimity is required
- **Increasing the ideological distance** between two players always decreases the distance

Implications

- As institutional veto players, federalism, bicameralism, and constitutionalism tend to reduce the winset
- This translates into policy stability and weaker agenda setting powers
- Policy stability translates into **government instability** in parliamentary democracies
- Policy stability translates into **regime instability** in presidential democracies `(Why are they different?)`
- Policy stability encourages judicial and bureaucratic activism `(to resolve or prevent the ensuing instability)`

Takeaways

- Federalism
  - Congruent vs. incongruent
  - Symmetric vs. asymmetric
  - Formal federalism vs. actual decentralization
- Bicameralism
  - Congruent vs. incongruent
  - Symmetric vs. asymmetric
- Constitutionalism
  - Legislative supremacy vs. higher law
  - Type, timing, and jurisdiction of constitutional review
- In the end, these are all examples of how institutional veto players can introduce policy stability. This can help to balance different dimensions of representation, but can lead to government or regime instability

Reminder:

Quiz 5 due December 17 at 5:00 PM

Final exam available later that day

Sign-up only!

Due: December 21 11:59 PM

Thank you!